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GNIOT Institute of Management Studies – PGDM (Batch 2021-23)**(TRIMESTER – IV) END TERM EXAMINATION, SEPTEMBER - 2022****Personal Finance & Wealth Management****[Time: 2 Hours 30 Minutes]****[Maximum Marks: 100]****INSTRUCTIONS:**

- (i) There are **THREE** sections in this question paper.
- (ii) Attempt questions from each section as per the directions.
- (iii) Make suitable assumptions wherever necessary.

SECTION-A**(Short Answer Type Questions, do not exceed 100 words)****Q.1. Attempt all parts of the following:****(10×3=30)**

- (a) What is credit risk in the market?
- (b) Differentiate between annuity and annuity due.
- (c) Define the thumb rule of “50:30:20” for financial planning.
- (d) If a value of land in an area is increasing 6 percent a year, how long will it take for property values to double?
- (e) Is systematic risk all prevalent in the market?
- (f) Define Asset Rebalancing.
- (g) Define short Term Capital Gain.
- (h) Describe two reasons why investors purchase common stock?
- (i) “Preparing Will is a very important part of estate planning.” Comment
- (j) If a person wishes to purchase a house and has a monthly income of ₹ 1,00,000. How much should be his maximum investment in purchasing a house if the whole amount needs to be financed from the bank.

SECTION-B**(Long Answer Type Questions)****Attempt all questions of the following:****(4×10=40)****Q.2. (a)** If a person needs to design a personal financial plan, what all components he needs to consider while designing the plan.**OR**

- (b) Mr. Rajesh is one of the investors who is ready to take up moderate risky to highly risky investment options in order to earn a high rate of return. Suggest him the investment options which he can explore in the market.

Q.3. (a) Mr. X is in need of funds and has taken a personal loan of ₹ 10,00,000 for 10 years at a 12% fixed interest rate. Help him in understanding the EMI structure by developing a repayment schedule for him.**OR**

- (b) Mr. Y wants to secure his future and is thinking of buying a pension plan. He wants his plan to pay him ₹ 50,000 per year for 15 years, starting 10 years from now. If the interest rate is 8%, determine what is the present worth of the plan?

Q.4. (a) Mr. Ravi always looks for fixed Income schemes, bond issues in the market for investment options. What characteristics you can understand for his investment behaviour from his investment preferences. How Mr. Ravi can evaluate such investment options while making his investment decisions.**OR**

- (b) Mr. Abishek is 40 years old, having a family of 5 members, his wife, two children and his mother. He is struggling to know how he can plan for his retirement. Please tell Mr. Abhishek how he can estimate how much money he will be needing at the age of retirement and also what all expenses are expected to increase or decrease during retirement?

Q.5. (a) Three years ago Dorothy’s mutual fund was worth \$ 243,000. Now because of an upturn in the economy, the value of her investment portfolio has increased to \$ 320,000. Even though her investments have increased in value, she wonders if it is time to change her investment holdings, which consist of either aggressive growth funds or growth funds.

- i. How much money Dorothy gained in the last three years?
- ii. Given the above information, calculate the percentage of gain.
- iii. If you were in Dorothy’s position, what actions would you take to evaluate your investment portfolio?

OR

- (b) Mr. Ashok, age 32, belongs to a middle class family. He has studies B.Tech (Computer Science) and got a job with top software company. He is married and has one daughter who is 7 years of age. His present salary is ₹ 60,000 per month. Minimally at present, he requires ₹ 40,000 per month for expenses which include the rent for the flat. So far he had a financial responsibility towards his sister’s marriage. which has now been met. He has started thinking and planning for his future needs and suitable savings to meet these. He has noted his financial goals as follows:

- i. ₹ 15 lakhs when his daughter turns 17 after 10 years to meet the needs for her education after she finishes school, in steps of ₹ 3 lakhs per year for 5 years.
- ii. ₹ 12 lakhs to meet postgraduate level needs in steps of ₹ 6 lakh per year for 2 years after 15 years.
- iii. ₹ 20 lakh for her marriage, 20 years from now.

Analyse and calculate how much he needs to save each year to meet his goals. The money saved and kept in bank will earn 10% per annum interest throughout the period.

SECTION-C

Q.6. Attempt all parts of the following:

(2×15=30)

Joe & Mary Garner married for 12 years, have an eight year old child. Six years ago, they purchased a home on which they owe about \$ 1,10,000. They also owe \$ 6,000 on their 2 year old automobile. All of their furniture is paid for, but they owe a total of \$ 4120 on two credit cards. Joe is employed as an engineer and makes \$ 60,000 a year. Their combined monthly income after deductions is \$ 4,520.

About six months ago, Garners had what they now describe as a “financial meltdown”. It all started one Monday afternoon when their air conditioner stopped cooling. Since their home was only six years old, they thought the repair ought to be a simple one - until the repair technician diagnosed their problem as a defective compressor. Unfortunately the warranty on the compressor had run out and about three months before the compressor broke down. According to the technician, it would cost over \$ 1,600 to replace the compressor. At the time, they had about \$ 2,000 in their savings account, which they had been saving for their summer vacation, and now they had to use their vacation money to fix the air conditioner.

For the Garners, the fact that they did not have enough money to take a vacation was like a wake-up call. They realised that now they were now in their mid-30’s and had serious cash problems. According to Joe, “We don’t waste money, but there just never seems to be enough money to do the things we want to do.” But according to Mary, “The big problem is that we never have enough money to start an investment program that could pay for our daughter’s college education or fund our retirement.”

They decided to take a “big” first step in their attempt to solve their financial problems. They began by examining their monthly expenses for the past month. Here is what they found:

Income (Cash Inflows)	\$	
Joe’s take home salary:	3500	
Mary’s take home salary		1020
Total Income	4520	
Cash Outflows		
Monthly Fixed Expenses:		
Home mortgage payment	890	
including taxes & Insurance		
Automobile loan	315	
Automobile Insurance	130	
Life Insurance Premium	50	
Total Fixed Expenses	1385	
Monthly Variable Expenses:		
Food & Household Necessities	680	
Electricity	240	
Natural Gas	275	
Water	35	
Telephone	80	
Family clothing Allowance	230	
Gasoline & Automobile Repairs	195	
Personal & Healthcare	150	
Recreation & Entertainment	700	
Gifts & Donations	350	
Minimum payments on credit cards	80	
Total Variable Expenses	2915	
Total Monthly Expenses	4300	
Surplus for Saving & Investment	200	

- 6(a) i.** How would you rate the financial status of the Garners before the air conditioner broke down? **(5 Marks)**
- ii.** Garner's take home pay is over \$ 4,500 a month. Yet, after all expenses are paid, there is only a surplus of \$ 220 each month. Based on the information presented in this case, what expenses, if any, seem out of line and could be reduced to increase the surplus at the end of each month? **(5 Marks)**
- iii.** Prepare a suggested Income & Expense statement for Garners to help them in their financial planning. **(5 Marks)**
- 6(b) i.** Given that both Joe and Mar Garner are in their mid-30’s and want to retire when they reach age 65, what type of investment goals would be most appropriate for them, you are suggested to associate the goals with a respective tentative amount of money for different goals. **(7.5 Marks)**
- ii.** What specific type of investments do you recommend for Garners and why? **(7.5 Marks)**